

warning of their risk. One of the risks associated with bonds is related to interest rates. If you lock in your money for a number of years at a fixed-interest rate, you may not be able to sell the bond for full price if other bonds are paying higher interest rates. Many bonds trade on the open market like stocks. Generally, if market rates of interest go up, the value of bonds already issued will decline. Should market rates of interest go down, then the old bond with a higher interest rate will increase.



At the U.S. Treasury website at www.treasurydirect.gov you can download the Savings Bond Wizard, a program that allows you to maintain an inventory of your U.S. savings bonds and determine the current redemption value and interest earned to date.

Municipal bonds are issued by states and cities to fund projects such as road repairs, bridge building, prison renovations, and any number of other projects requiring large amounts of money. These bonds aren't guaranteed, but defaults are rare. However you should exercise caution when considering this alternative as forty-seven out of the fifty states are currently in a deficit position. The main attraction of state and local bonds is that their earnings are exempt from federal income tax, which makes them attractive to people in a high tax bracket. Likewise, U.S. Treasury interest is exempt from state and local income taxation. Should you purchase a state or local bond of the state where you reside you will find that the interest on the bond will be exempt from federal, state, and local income taxation. That is why they are often called "triple tax-free."

How to Buy Bonds

You can buy federal government bonds, including U.S. savings bonds, directly from the U.S. Treasury, and both government and corporate bonds through a stockbroker. If you don't want to buy individual bonds, you can